BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 23-G-0225 & 23-G-0226

September 1, 2023

Prepared Testimony of:
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Q. Staff Consumer Services Panel, or SCSP or the Panel, please state your names, employer, and business addresses.

A. Our names are Anna Senatore, Adam Polmateer, Xenia Vega, Anthony Osei-Tutu, Timothy Marsh, and Kyle LaBelle. We are employed by the New York State Department of Public Service, or DPS or the Department. Adam Polmateer, Timothy Marsh, and Kyle LaBelle's business address is 3 Empire State Plaza, Albany, New York 12223-1350. Anna Senatore and Xenia Vega's business address is 125 East Bethpage Road, Plainview, New York 11803. Anthony Osei-Tutu's business address is 90 Church Street, New York, New York 10007.

Q. Ms. Senatore, what is your position at the Department?

A. I am a Utility Consumer Program Specialist 5 in the Consumer Advocacy section in the Office of Consumer Services.

Q. Please summarize your education and professional experience.

A. From 2007 to 2008, I was an Education Coordinator at the Building Industry Association of Southern California where I successfully

launched its Sustainable Development Education program. In 2009, I received a Bachelor of Science degree in Business Administration from the University of Phoenix. Before joining the Department in 2014, I was employed as the Director of Communications and Senior Project Manager from 2009 to 2014 for a civil engineering firm where I managed corporate communications and an air quality outreach program designed to keep stakeholders informed about clean air programs, policies, and objectives for California's largest transportation, education, water, and energy projects.

Q. Ms. Senatore, please briefly describe your current responsibilities at the Department.

A. I have worked in the Office of Consumer Services since 2014 where my primary responsibilities have included advocating on behalf of customers in utility rate proceedings, overseeing utility customer service operations, monitoring utility service quality incentive programs, evaluating utility low-income programs, evaluating outreach programs, and managing Department outreach

programs.

Q. Have you previously testified before the New York State Public Service Commission, or the Commission?

A. Yes. I have testified in The Brooklyn Union Gas Company d/b/a National Grid, or KEDNY, and KeySpan Gas East Corporation d/b/a National Grid, or KEDLI, hereinafter referred to collectively as the Companies, rate proceedings in Cases 16-G-0058 and 16-G-0059, and the Consolidated Edison Company of New York, or Con Edison, rate proceedings in Cases 22-E-0064 and 22-G-0065. The subjects of my previous testimony include energy affordability programs, and outreach and education.

Q. Mr. Polmateer, what is your current position at the Department?

A. I am employed as a Utility Consumer Assistance Specialist 4.

Q. Mr. Polmateer, please provide a summary of your educational background and professional experience.

A. I received an Associate Degree in Electrical Engineering Technology from Adirondack Community

College in 2002, and I completed coursework in Electrical Engineering at the SUNY Institute of Technology in Utica, New York during the 2002-2003 and 2003-2004 school years. My professional experience was gained through my 17 years of employment with the Department starting in 2005. During that time, I served as a supervisor overseeing operations in the call center, an analyst, a staff trainer and an Informal Hearing Officer.

Q. Mr. Polmateer, please briefly describe your current responsibilities at the Department.

A. I am a supervisor in the Retail Access unit monitoring compliance for Energy Services Companies and Distributed Energy Resource providers.

Q. Have you previously testified before the Commission?

A. Yes, I have testified in numerous rate cases including prior KEDLI and KEDNY rate proceedings in Cases 19-G-0310 and 19-G-0309 where I testified to the economic development grant programs, and, most recently, the Liberty Utilities (St. Lawrence Gas) Corp. rate

proceeding in Case 21-G-0577 where I served as the Office of Consumer Services Staff lead.

Q. Ms. Vega, what is your position at the Department?

A. I am employed as a Utility Consumer Program Specialist in the Outreach and Education, or O&E, section of the Office of Consumer Services.

Q. Please summarize your education and professional experience.

A. I attended Nassau Community College where my studies focused on communications and business administration. My professional experience began in 1994 as a Call Center Representative at Verizon's Multilingual Call Center. I was then promoted to the Field Unit as a Field Supervisor with a wide range of involvement in community outreach and consumer advocacy projects. I started at the Department in 2012 as a Call Center Representative and Utility Field Inspector. In 2015, I transferred to the Analysis Unit within the Office of Consumer Services where I reviewed and responded to customer complaints. In 2018, I was promoted to the O&E team as a Utility Consumer Program

Specialist.

Q. Ms. Vega, please briefly describe your current responsibilities at the Department.

A. My responsibilities include implementing the Department's O&E programs, policies, and initiatives. I review utilities' annual O&E Plans and outreach material, and provide recommendations as appropriate. In addition, I review the public information sections of Article 7 and Article 10 filings, and I monitor PSEG Long Island's capital project outreach activity.

Q. Have you previously testified before the Commission?

A. No, I have not.

Q. Mr. Osei-Tutu, what is your position at the Department?

A. I am employed as a Utility Consumer Assistance Specialist 2 in the Consumer Advocacy Section of the Office of Consumer Services.

Q. Please provide a summary of your educational background and professional experience.

A. I received an Associate Degree of Applied Science in Individual Studies from the State

University of New York at Morrisville in 2015. In May 2023, I graduated from Syracuse University with a Bachelor of Professional Studies in the Knowledge Management Program. I have been employed with the Department since May 2015, starting in the Consumer Assistance Section in the Office of Consumer Services. In 2017, I joined my current position in the Consumer Advocacy Section.

Q. Please briefly describe your current responsibilities at the Department.

A. My responsibilities include customer complaint investigations, treatment of service quality issues, and ensuring compliance with the Home Energy Fair Practices Act, or HEFPA.

Q. Have you previously testified before the Commission?

A. Yes. I have testified in several rate proceedings, including Orange & Rockland Utilities, Inc., or Orange & Rockland, in Cases 18-E-0067 and 18-G-0068; Con Edison in Cases 19-E-0065, 19-G-0066, 22-E-0064 and 22-G-0065; Central Hudson Gas & Electric Corp., or Central Hudson, in Cases 20-E-0428 and 20-G-0429;

Corning Natural Gas Corp., in Case 21-G-0260; and, most recently, New York State Electric & Gas Corp., or NYSEG, and Rochester Gas & Electric Corp., or RG&E, in Cases 22-E-0317, 22-G-0318, 22-E-0319, and 22-G-0320. The subjects of my previous testimony include customer information systems, low-income program enrollment, and customer service quality metrics.

Q. Mr. Marsh, what is your position at the Department?

A. I am employed as a Utility Analyst Trainee 2 in the Consumer Advocacy Section of the Office of Consumer Services.

Q. Please summarize your education and professional experience.

A. I received a Bachelor of Science in Interdisciplinary Studies focusing on Business and History from Arizona State University in 2010, and a Master of Public Administration from Rockefeller College of Public Affairs at the State University of New York at Albany in 2023. Before my employment at the Department, I was a member of the COVID-19 Response Team with the

New York State Department of Taxation and Finance from 2020 to 2022. I joined the Department in 2022, performing tasks associated with submetering and audits of public utilities pursuant to the Public Service Law and Public Service Commission regulations.

Q. Mr. Marsh, please briefly describe your current responsibilities at the Department.

A. My responsibilities include advocating on behalf of residential consumers, evaluating utility customer service quality, and monitoring utilities' low-income programs.

Q. Have you previously testified before the Commission?

A. No, I have not.

Q. Mr. LaBelle, what is your position at the Department?

A. I am employed as a Utility Analyst Trainee 2 in the Consumer Advocacy Section of the Office of Consumer Services.

Q. Please summarize your education and professional experience.

A. I received a Bachelor of Science degree in Biomedical Science from the State University of

New York at Buffalo in 2018. Before my employment at the Department, I was contracted as a Medical Device Sales Representative from 2018 to 2022 and provided clinical and sales support to surgeons, hospitals, and ambulatory surgery centers for a portfolio of orthopedic device companies.

Q. Mr. LaBelle, please briefly describe your current responsibilities at the Department.

A. I joined the Department in June of 2022. My responsibilities include advocating on behalf of residential consumers, evaluating utility customer service quality, and monitoring utilities' low-income programs.

Q. Have you previously testified before the Commission?

A. No, I have not.

Scope of Testimony

Q. What is the purpose of the Panel's testimony in these proceedings?

A. We are responding to KEDNY and KEDLI's proposals to: (1) update the Energy Affordability Program budgets which would include an over and under-recovery in the proposed Rate Adjustment

Mechanism, allow overcollections to be deferred as a credit for future low-income programs, and hire a total of three new Full-time Equivalents, or FTEs, employees to expand and support program enrollment; (2) enhance low-income marketing and outreach programs by hiring a total of 12 new FTEs to expand and support low-to-moderate income, or LMI, marketing and outreach; (3) add five Strategic Account Managers to support large commercial and industrial customers; (4) align the KEDNY and KEDLI Customer Satisfaction Surveys with the Joint Utility Statewide Survey and collaborate with stakeholders and Department staff in 2024 to establish a target metric that utilizes the Joint Utility Survey beginning in 2025; (5) permit third-party vendors to utilize out-of-state agents and off-shore facilities to manage inbound Spanish call volume; (6) reinstate the positive-only incentive mechanism to reduce residential uncollectibles and service terminations; (7) add three new FTEs to support the Collection Residential Account Management, or CRAM, group; (8) add 30 new FTEs to support field collection activity; (9) socialize the

costs of credit/debit card transaction fees; (10) decrease incremental Economic Development grant funding by discontinuing two programs and modifying others; and (11) implement a new gas safety campaign for stakeholders in multi-dwelling locations.

Q. Please describe the Panel's overall recommendations and adjustments.

A. The Panel recommends that the Commission reject a total of $5.0 million in O&M costs and a total of 23 FTEs for various customer service programs. The Panel supports the Companies' desire to increase enrollment in their Energy Affordability Program and increase awareness about energy efficiency and assistance programs through existing outreach programs, and recommends approval of the additional 10 FTEs to support their efforts.

Q. Please explain how the Panel conducted its review of the Companies' proposals?

A. We reviewed the Companies' Customer Panel's direct testimony, or Direct Testimony, the associated exhibits, and the Companies' responses to interrogatories. We also conducted

field visits, interviewed the Companies' personnel, and held meetings with the Companies' subject matter experts.

Q. In your testimony, will the Panel refer to, or otherwise rely upon, any information obtained during the discovery phase of this proceeding?

A. Yes. We will refer to, and have relied upon, several responses provided by the Companies in response to our interrogatories, which are contained within Exhibit___(SCSP-1). We will refer to these responses by the designation given to them by Staff, e.g., DPS-123.

Q. Have you prepared any exhibits in connection with your testimony?

A. Yes, we are sponsoring four exhibits.

Q. Would you briefly describe each exhibit?

A. Exhibit___(SCSP-1) contains the responses to our interrogatories referred to and relied upon by the Panel in our testimony. Exhibit___(SCSP-2) contains our proposed target levels for the Customer Service Performance Indicator, or CSPI. Exhibit___(SCSP-3) shows the basis point allocations for major investor-owned utilities across New York State. Exhibit___(SCSP-4)

contains the modified O&E budget template.

Energy Affordability Program

Q. Describe the Commission's Energy Affordability Policy.

A. The Commission's Energy Affordability Policy was adopted through multiple Commission orders in Case 14-M-0565.

Q. What are those orders?

A. The first is the Commission's Order Adopting Low Income Program Modifications and Directing Utility Filings issued on May 20, 2016 in Case 14-M-0565, Proceeding on Motion of the Commission to Examine Programs to Address Energy Affordability for Low-Income Utility Customers, or the 2016 Low Income Order, whereby the Commission directed the utilities to establish a statewide monthly bill discount program for low-income utility customers.

Q. What is the second Commission order?

A. On August 12, 2021, the Commission further directed the utilities, including KEDLI and KEDNY, to modify their low-income programs by its Order Adopting Energy Affordability Policy Modifications and Directing Utility Filings, or

the 2021 Phase 2 Order. We will refer to these orders collectively as the Commission's Energy Affordability Policy Orders.

Q. What was the purpose of the 2021 Phase 2 Order?

A. In the 2021 Phase 2 Order, the Commission adopted several recommendations pertaining to enhanced reporting requirements; improving identification of low-income customers such as a statewide process for customer self-identification, targeted outreach to encourage customer self-identification, and measures to enhance file matching with the New York State Office of Temporary and Disability Assistance, or OTDA; improving the bill discount calculation methodology including reevaluating bill discount tiers; standardizing practices and administration across utilities, including a requirement for utility Energy Affordability Program, or EAP, discounts to be included in tariff filings; factoring scheduled delivery rate increases into the utility's two percent budget cap adjustments; facilitating energy efficiency improvements by identifying high-usage, low-income customers and targeting

delivery of service through New York State Energy Research and Development Authority, or NYSERDA, and utility energy efficiency programs; and continuing to automatically enroll Energy Affordability Program participants into budget billing. The 2021 Phase 2 Order also established a stakeholder Energy Affordability Policy Working Group.

Q. Describe the Energy Affordability Policy Working Group and its purpose.

A. The Energy Affordability Policy Working Group was established for all interested stakeholders to collectively develop a list of priorities and objectives related to energy affordability and file status reports and recommendations for Commission consideration twice per year. Since it was established, the Energy Affordability Policy Working Group has collaborated on an automated file matching process between utilities and OTDA, Energy Affordability Policy report templates to be used by the utilities, arrears reduction programs, the Phase 1 and Phase 2 COVID-19 Utility Arrears Relief Program, and the disbursement of NYS Budget

Appropriations for arrears relief. Additionally, per the Commission's Energy Affordability Policy Orders, proposed modifications to utilities' EAPs must be discussed within the Energy Affordability Policy Working Group and filed with the Commission for approval under the generic proceedings (Cases 14-M-0565 and 20-M-0266) so that the EAPs are consistent among the utilities in the State.

Q. Who participates in the Energy Affordability Policy Working Group?

A. To date, the Energy Affordability Policy Working Group has included participation from multiple state agencies, utilities, and interested stakeholder groups.

Q. Please explain the Companies' EAP.

A. The Companies' EAP provides a monthly bill discount, ranging in value based on one of four applicable tiers, to customers who receive a Home Energy Affordability Program, or HEAP, grant. The Companies annually update the bill discount levels for each of the four tiers to reflect variations in average bills. The Companies fully reconcile actual over/under

budget programs costs as directed in the Commission's Energy Affordability Policy Orders.

Q. How are eligible low-income customers identified?

A. The Companies work with OTDA's NYS HEAP Bureau to conduct a file match to identify households in their service territories outside of the City of New York that receive HEAP, and the Companies file match with the New York City Human Resources Administration, or HRA, four times annually which permits HRA to identify program-eligible customers in the territory of KEDNY and the Rockaway portion of KEDLI's service territory.

Q. Are there any costs associated with file matching?

A. On page 21 of the Customer Panel direct testimony, the Companies state that they reimburse New York City up to $50,000 per year for its costs associated with the file matching, which is included in the EAP deferral mechanism.

Q. How are customers enrolled in EAP?

A. Customers who receive HEAP payments are automatically enrolled in EAP when the HEAP

grant is received. The Companies state on page 19 of the Customer Panel direct testimony that they also use manual enrollment via online applications on the National Grid website, or by manually matching customers through the call center, consumer advocate referrals, or by referrals from social services. The Companies' manual enrollment process identifies participants in the programs we will later identify when we discuss other qualifying public assistance programs.

Q. How do customers qualify for a particular EAP benefit tier?

A. Qualification for one of the four tiered EAP benefits is based on receipt of the HEAP grant and applicable HEAP add-ons, and whether the customer is a heat or non-heat customer. Add-ons are available to eligible households to assist those with the lowest income or a vulnerable household member.

Q. What other public assistance programs in addition to HEAP qualify a customer for EAP discounts?

A. On page 20 of the Companies' Customer Panel

direct testimony, the Companies indicated that participation in the following programs may qualify a customer for EAP discounts: Temporary Assistance for Needy Families, Safety Net Assistance – Public Assistance, Supplemental Security Income, Medicaid, Veteran's Disability Pension, Veteran's Surviving Spouse Pension, Child Health Plus, Lifeline Telephone Service Program, or Lifeline, Supplemental Nutrition Assistance Program, or SNAP, Federal Public Housing Assistance, and Bureau of Indian Affairs General Assistance, if living on tribal lands, including Head Start, Tribal Temporary Assistance for Needy Families, and Food Distribution Program on Indian Reservations.

Q. Do the Companies charge a reconnection fee to EAP participants?

A. On page 16 of the Customer Panel direct testimony, the Companies state that KEDNY has a Reconnect Fee Waiver program for customers participating in the EAP who had their service disconnected for nonpayment. KEDLI does not charge EAP participants reconnect fees.

Q. How were the EAP rate allowances calculated in

these proceedings?

A. Proposed rate allowances for KEDNY and KEDLI's EAP were calculated using forecast program budgets, which are based on anticipated participation and tier discount amounts calculated in accordance with the Commission's Energy Affordability Policy Orders in Case 14-M-0565.

Q. What are the Companies' proposed EAP rate allowances?

A. The forecast annual rate allowance included in the revenue requirement for KEDNY and KEDLI in the Rate Year is $46.90 million and $8.85 million, respectively, an increase of $8.45 million and $2.10 million, respectively, from the current rate allowance.

Q. How do the Companies currently reconcile actual EAP expenses to the current rate allowance?

A. The Companies state on page 24 of the Customer Panel direct testimony that if the actual annual program costs are below the amounts covered in rates, the Companies establish a deferred credit for use in future low-income programs. If the actual program costs exceed the amount recovered

in rates, the Companies establish a deferral for future recovery from all customers.

Q. Please explain the Companies' proposals regarding the recovery of the EAP deferral.

A. The Companies propose recovery of certain balances, including the EAP deferral, through the proposed Rate Adjustment Mechanism, or RAM. The Companies claim the RAM will allow them to bundle deferred reconciliations in one mechanism that will also be used to recover additional deferrals the Companies may implement in the future. As discussed in the Staff Policy Panel, Department Staff is not supportive of the RAM. However, we recommend the Companies continue to fully reconcile their EAP expenses.

Q. Do the Companies propose additional resources to support EAP administration efforts?

A. Yes, the Companies propose three EAP Administrators, allocating 1.5 FTEs to KEDNY and 1.5 FTEs to KEDLI.

Q. What are the EAP Administrators' primary responsibilities?

A. On page 26 of the Customer Panel's direct testimony, the Companies describe the EAP

Administrators' responsibilities as being primarily focused on administering file matching, maintaining and reporting on EAP data, and assisting in the creation of LMI strategies and plans. On page 1 of Exhibit___(CP-1), Schedule 2, the Companies also state that the EAP Administrators will support the Energy Affordability Policy Working Group's current functions and upcoming policy objectives.

Q. What is the Panel's recommendation concerning the FTE EAP Administrators?

A. We recommend approving the three EAP Administrators. In response to DPS-887, as shown in Exhibit___(SCSP-1), the Companies explain that the EAP is currently being administered by 13 FTEs in various offices who are allocating their time with other non-EAP duties, including advocacy and collections. With the addition of these FTEs, the Companies will be able to reallocate assignments from the 13 FTEs currently dedicating some of their attention to the EAP to the new FTEs, and the 13 FTEs currently involved in EAP Administration will then be able to focus on engaging with the

customers in the most need.

Outreach and Education

Q. Describe the Commission's requirements for utilities' annual O&E Plan.

A. Pursuant to the Commission's Order Continuing Reporting Requirements in Cases 96-M-0706, et al., issued on November 13, 1997, or the O&E Order, each utility is required to file an annual outreach and education plan detailing its efforts to educate customers about utility service. The O&E Order continued outreach and education reporting requirements first implemented in 1988.

Q. Describe the topics discussed in the Companies' 2023 O&E Plan.

A. The Companies' statewide 2023 Annual O&E Plan, which includes Niagara Mohawk Power Corporation d/b/a National Grid, or NMPC, was filed on March 29, 2023 in Case 17-M-0475. The 2023 O&E Plan includes programs and materials to increase awareness and understanding of billing services and payment alternatives, customer rights and responsibilities, energy efficiency programs, energy affordability, infrastructure and

security, metering, natural gas/electric safety, price volatility, service interruptions, special needs customers, summer demand response/load reduction, and winter heating season.

Q. Does the Companies' 2023 O&E Plan include an outreach forecast and actual budget separately for KEDNY and KEDLI?

A. No. The Companies' 2023 O&E Plan includes gas and electric budgets in aggregate across NMPC, KEDNY, and KEDLI and did not separately identify costs for KEDNY and KEDLI.

Q. Did the Companies address their O&E Plan in testimony?

A. No, the Companies did not specifically address their O&E Plan; however, as we will discuss later in our testimony regarding LMI, the Companies requested an LMI Marketing and Outreach Program, which falls under the Energy Service Affordability section of the Companies' 2023 O&E Plan.

Q. Did the Panel examine the Companies' 2023 O&E Plan?

A. Yes. We reviewed the Companies' 2023 outreach activity, budgets, and expenditures.

Q. Did the Panel find any concerns with the Companies' outreach activity?

A. The Panel did not have any specific concerns about the Companies' outreach activity; however, the Companies' description of outreach activity costs lacks transparency in both these proceedings and in the O&E Plan budgets and expenses.

Q. What budgets or identification of expenses are included in the Companies' O&E Plan?

A. On page 33 of their 2023 O&E Plan, the Companies included an estimated 2023 total annual outreach budget across KEDNY, KEDLI, and NMPC at $8.76 million, of which $173,804 is allocated to Energy Affordability. On page 37, the Companies reported their total planned and actual expenditures for 2022 of $9.3 million and $8.2 million, respectively. On page 38, the Companies reported that in 2022, the Companies planned to spend $0.543 million for Energy Affordability outreach but only spent $0.175 million, highlighting a 68 percent underspend in 2022 for all three Companies combined.

Q. Did the Panel find any issues with the

Companies' EAP historical spending?

A. Yes. We examined the past three years, 2020, 2021, and 2022, of historical spending and the Panel could not reconcile O&E spending of actual costs because the Companies did not and cannot provide a breakdown of their planned and actual budgets until 2022 as that spending is not tracked. On page 135 through 136 of the Companies' 2023 O&E Plan, Summary of 2022 Results and Lessons Learned, the Companies identified various outreach activities they conducted, the costs of which are not reflected in their outreach budget in the O&E Plan, which indicated a lack of transparency and consistency in how outreach activities are categorized in their O&E budgets.

Q. Is Energy Service Affordability outreach and marketing reflected in any other budgets included in the Companies' 2023 O&E Plan?

A. Yes. In the Companies response to DPS-982, as shown in Exhibit__(SCSP-1), and on page 38 of their 2023 O&E Plan, the Companies confirm that some actual costs are captured under the "Seasonal Communications" budget section of

their O&E Plan; however, the Companies do not identify the amount planned or spent for Energy Service Affordability outreach within the Seasonal Communications budget.

Q. Did the Companies provide additional information about their Energy Service Affordability outreach budgets?

A. Yes. In the Companies' supplemental response to DPS-474, as shown in Exhibit__(SCSP-1), the Companies provided a breakdown of planned and actual costs for KEDNY and KEDLI. In 2022, the Companies report that Energy Services Affordability marketing and outreach had a projected budget of $17,200 and an actual spend of $4,309 for KEDLI, an approximately 75 percent underspend. For KEDNY there was a projected budget of $60,500 and an actual spend of $68,662, an overspend of 13 percent. The Panel found inconsistencies between the lack of any recorded O&E costs for outreach activities as reported by the Companies in their supplemental response to DPS-474, and the activities the Companies confirm were performed to deliver messages as reported on page 135 of their 2023

O&E Plan, further highlighting our concerns about the lack of consistency and transparency in the Companies' reporting and O&E budgets.

Q. Did the Companies provide additional information about their under/overspent funds?

A. Yes. In response to DPS-982, the Companies explain that they do not reconcile over- or under-spending for marketing, outreach and education. The cost for LMI marketing, outreach and education are included in larger company-wide campaigns, which cannot be accounted for separately. The Companies explain that they do not have any incremental cost to the business area that supports EAP and LMI marketing and outreach, and state that "LMI marketing, outreach and education expenses are paid through departmental budgets, which are not directly tied to specific line items of the rate filing."

Q. Did the Panel examine whether the Companies performed marketing activities in accordance with the Commission's Statement of Policy on Advertising and Promotional Practices of Public Utilities?

A. Yes. In DPS-392, as shown in Exhibit__(SCSP-1),

the Companies stated that their O&E Plan is consistent with the Commission's Statement of Policy on Advertising and Promotional Practices of Public Utilities, issued February 25, 1977.

Q. Did the Panel verify whether the Companies' outreach materials are, in fact, consistent with the Commission's Policy?

A. Yes. The Companies provided a sample of outreach materials, and we reviewed those materials for their adherence to the Commission's Policy standards and verified that they comply with the Policy.

Q. Does the Panel recommend any modifications to the Companies' outreach and education reporting requirements?

A. Yes. We recommend that the Companies continue to file their annual outreach and education plans and reports with the Secretary to the Commission under Case 17-M-0475 by April 1 of each calendar year. Filing this plan annually with the Secretary is consistent with other utilities and allows for review by the public and other officials. Additionally, to be able to fairly and effectively assess the need for

additional O&E funding in future rate filings, we recommend the Commission direct the Companies to use the modified budget template as shown in Exhibit___(SCSP-04) and include separate budgets for each Company, by program, with dollar amounts for each outreach activity line item (i.e., bill inserts, print material, direct mail, email, social media, media advertisement, etc.) including labor (i.e., number of FTEs fully dedicated to each program, titles, and job descriptions). Where the Companies identify that portions of their budgets are reflected in other sections of the O&E Plan budgets, they should be directed to disclose the page number on the document, name of the program budget, and the amount allocated for Energy Service Affordability outreach. Providing the modified budget template to the Commission will allow for transparency and prevent future inconsistencies in reporting their budgets and spending to allow Staff to fairly assess the Companies' outreach expenditures and need for additional funding.

Low- to Moderate-Income Customer Programs

Q. Describe the Companies' LMI customer segment.

A. Page 12 of the Companies' Customer Panel direct testimony explains that low-income customers, those with income less than 60 percent of the state median income, make up 32 percent of New York City residential customers and 17 percent of Long Island residential customers. On page 12 of Direct Testimony, the Companies define moderate-income residential customers as those who are at 60 to 80 percent of the area median income for New York City and Long Island. When included with low-income customers, this LMI segment makes up 47 percent of New York City customers and 29 percent of Long Island customers.

Q. What services or other benefits do the Companies provide to their LMI customers?

A. The Companies provide support to Low-income customers from programs such as the EAP monthly bill credit. In addition, the Companies provide all LMI customers can support for bill relief with budget billing, deferred payment agreements, or DPAs, Lifeline, energy efficiency programs and heating grants. The consumer advocacy group helps LMI customers navigate

these offerings and recommends programs based on customers' income eligibility. In addition, the NYS Budget Appropriation (A.3003-D/S.4003-D) directed the Department of Public Service to disburse $200 million in State Fiscal Year 2023-2024 to the utilities to provide bill relief to customers based on the utilities' share of EAP expenditures in Calendar Year, or CY 2022. The budget appropriation language also calls for an expanded discount program to include customers that do not currently qualify for the Energy Affordability Policy program but whose income is below the state median income.

Q. Did the Companies make any proposals to expand their outreach regarding their LMI programs?

A. Yes, on page 33 of the Customer Panel direct testimony, the Companies propose an enhanced marketing and outreach program to increase awareness of income-eligible programs to help customers manage their bills. The Companies refer to the enhanced marketing and outreach program as both the "EAP Outreach Program" and the "LMI Marketing and Outreach" in Exhibit___(CP-1), Schedule 5. For purposes of

this testimony, we will refer to the enhanced marketing and outreach program as the "LMI Marketing and Outreach program."

Q. Describe the Companies' LMI Marketing and Outreach program.

A. On page 33 of the Customer Panel direct testimony, the Companies propose increasing customer awareness and understanding of customer assistance programs such as EAP and HEAP, the other energy efficiency programs discussed earlier that are available to assist income-eligible customers, and the manual enrollment process for the EAP by way of outreach and materials including bill inserts, brochures, flyers, direct mail, web and digital media, and webinars.

Q. What are the associated costs of the proposed LMI Marketing and Outreach program?

A. The Companies request $0.5 million for outreach and marketing, split evenly between KEDNY and KEDLI in the Rate Year, to design and implement an enhanced LMI Marketing and Outreach program.

Q. Does the Panel have any recommendations concerning the Companies' LMI Outreach and

Marketing program proposal?

A. Yes. We recommend the Commission reject the Companies' LMI Outreach and Marketing program proposal because the Companies have existing outreach programs that achieve the same objectives. In response to DPS-555, as shown in Exhibit__(SCSP-1), the Companies explain that the LMI Outreach and Marketing program proposal will educate and drive engagement with customer segments that may be eligible to apply for the Companies' financial assistance programs. On pages 122, 135, and 185 of the Companies' 2023 O&E Plan, filed in Case 17-M-0475, the Companies describe their existing Energy Service Affordability outreach program, which is a continuing program to increase awareness about energy assistance programs such as HEAP and other EAP qualifying programs. They explain that their Energy Efficiency Outreach Program raises awareness about the Companies' energy efficiency portfolio, including income eligible programs. Finally, the Companies' seasonal outreach raises awareness about available resources and assistance programs. Each of

these existing outreach programs and efforts achieve the same objectives outlined in the proposed LMI Outreach and Marketing program. The additional FTEs, discussed later in this section, will provide the additional support needed to reach LMI customers by expanding their outreach to areas they normally do not reach.

Q. Does the Panel have any recommendations concerning the Companies' LMI Outreach and Marketing program budget?

A. Yes. We recommend that the Commission reject the $0.5 million in funding because the Companies already conduct customer outreach as part of existing programs. Additionally, as discussed earlier, the Companies did not sufficiently justify the need for additional funding due to a lack of consistency and transparency in the Companies' reporting and O&E budgets.

Q. Describe the steps undertaken by the Panel to evaluate the Companies' LMI Outreach and Marketing program budget.

A. Staff reviewed the Companies' 2020, 2021, and 2022 O&E Plans. The Panel also attempted to

gain insight into their O&E budgets through the discovery process. In DPS-474, which includes two supplemental responses to DPS-474, we requested an explanation of the Companies' planned and actual spending to fairly assess the need for additional funding. Accordingly, the Companies provided a breakdown of their projected and actual costs for KEDNY and KEDLI's Energy Service Affordability outreach programs. However, we found inconsistencies between the outreach activities being performed, as described on page 135 of their 2023 O&E Plan, and the costs of such outreach activities, as shown in their response to DPS-474. DPS-474, supplemental response 1 shows that they did not incur any costs for these outreach activities, even though they are identified as being performed in their O&E Plan budget. To further understand the Companies' outreach spending, we requested the Companies explain why these outreach activities were not incurring costs. In response to DPS-982, the Companies explained that the outreach and education expenses are paid through departmental budgets, which are not

tied to specific line items of the rate filing. Additionally, the Companies stated that the Companies do not reconcile over- or- under spending of these funds, and the cost are part of a larger marketing campaign which cannot be accounted for separately. To that end, the Companies' have demonstrated inconsistency in developing and tracking their outreach and education budgets, in addition to an unclear explanation on how they accurately forecast such costs. Thus, we recommend rejecting any additional funding for these programs.

Q. Do the Companies propose additional resources to support their proposed LMI Marketing and Outreach program?

A. Yes. In Exhibit___(CP-1), Schedules 1, 3, 4, and 5, the Companies propose hiring 12 additional FTEs to support the LMI Marketing and Outreach program. Throughout pages 25 through 35 of the direct testimony, the Companies propose hiring two Energy Equity Analysts, one for KEDNY and one for KEDLI; one Data Analyst, allocated 70 percent to KEDNY and 30 percent to KEDLI, to identify gaps in LMI and EAP outreach;

five Consumer Advocates, allocated three to KEDNY and two to KEDLI, to support their Consumer Advocacy Program; three Clean Energy Advisors, allocated 1.5 in KEDNY and 1.5 in KEDLI, to help LMI customers navigate energy efficiency options and promote participation; and one Marketing and Outreach Specialist, split equally between KEDNY and KEDLI, to design and implement their LMI Marketing and Outreach program.

Q. Does the Panel support the additional 12 FTEs to support the LMI Marketing and Outreach Program?

A. Partially. Although we recommend the Commission reject the LMI Marketing and Outreach program, we recommend allowing some FTEs to enhance the Companies' existing outreach programs.

Q. Explain the Companies' proposal regarding the Energy Equity Analysts and the Data Analyst positions.

A. On page 33 of the Customer Panel direct testimony, the Companies explain that these positions would assist in identifying gaps in LMI and EAP outreach for the 80,000 KEDLI and 222,000 KEDNY customers estimated by the

Companies as being eligible for income-based assistance but who are not receiving it. In response to DPS-887, the Companies assert that currently there is one Lead Analyst, an LMI Customer Strategist in the Market Segmentation and Growth group, who is responsible for overarching LMI segment strategy and spends half of their time focused on duties related to this segment. The Energy Equity Analyst position will develop a comprehensive strategy to unify LMI segment outreach, inclusive of EAP, LMI, and Disadvantaged Communities, with support from the Data Analyst. The Data Analyst position is designed to improve efficiency in targeting the LMI segment with a goal of creating more efficient delivery costs.

Q. What is the Panel's recommendation regarding the proposed two Energy Equity Analysts and one Data Analyst?

A. We recommend the Commission approve one Energy Equity Analyst position, split evenly between KEDNY and KEDLI, and one Data Analyst position allocated 70 percent to KEDNY and 30 percent to KEDLI. Together, these positions will assist

the Companies in their pursuit of the overarching segment strategy goals currently being performed by a Lead Analyst position who devotes only half of their time to the LMI segment outreach goals and strategic planning. Because we are recommending the Commission deny the LMI Marketing and Outreach program funding, the recommended Energy Equity Analyst will be able to continue implementing the strategies for LMI outreach without having to devote significant time to developing a new O&E program.

Q. What is the Panel's recommendation regarding the proposed five Consumer Advocates?

A. We recommend that the Commission allow two Consumer Advocates for KEDNY and none of the Consumer Advocates for KEDLI.

Q. Why does the Panel recommend this reduction to the Companies' request for Consumer Advocate FTEs?

A. The Companies stated in response to DPS-984 that they have six Consumer Advocates, two solely dedicated to KEDNY and four solely dedicated to KEDLI. We recommend that the Commission approve

two additional Consumer Advocates for KEDNY but recommend rejecting the additional Consumer Advocates for KEDLI. With KEDNY having 222,000 customers who could be candidates for HEAP, the additional two Consumer Advocates for the KEDNY service territory and the targeted support to both KEDNY and KEDLI from the Energy Equity Analyst and Data Analyst will allow the Companies' employees to focus their efforts more effectively because some employees can focus on strategy and administrative work, while others focus on engaging with the high-needs or LMI customers. Additionally, the current employees and recommended FTEs will be able to identify and contact partnership opportunities with NYSERDA and umbrella groups such as community-based organizations that have established relationships with other community groups such as faith organizations, civic associations, or neighborhood associations that may have greater knowledge of community needs. These partnerships will take some of the burden off the Companies' Consumer Advocacy group by helping to identify customers in need and

assisting those customers with filling out applications.

Q. What does the Panel recommend regarding the three Clean Energy Advisors?

A. The Panel recommends the Commission reject all three Clean Energy Advisors FTEs.

Q. Why does the Panel recommend this reduction in FTEs?

A. On page 2 of Exhibit___(CP-1), Schedule 4, the Companies explain that the Clean Energy Advisors' duties include discussing clean energy programs with customers, assisting with the application process, and scheduling services for LMI customers. We found that the Consumer Advocate role overlaps with the new Clean Energy Advisor role in that both groups assist LMI households by directly engaging customers who need help managing their energy costs and guide them through those processes. While the Clean Energy Advisor departs from the Consumer Advocate by being solely focused on identifying energy efficiency and clean energy programs for LMI customers, this task can be coordinated between the Companies' current Consumer

Advocates and NYSERDA's Regional Clean Energy Hubs, or Hubs.

Q. What is the purpose of NYSERDA's Clean Energy Hubs?

A. NYSERDA's Hubs act as a platform through which ratepayers can engage with the State's clean energy programs by connecting residents, consumers, and businesses with clean energy careers, home improvements, and rebates for personal and business transportation. The Hubs help residents navigate and understand program options, fill out applications, identify energy incentives, and engage contractor services. In providing this engagement platform, the NYSERDA Hubs support the State's transition to an inclusive clean energy powered economy. As previously discussed, with the additional Consumer Advocates, the Companies will be able to allocate the resources needed to focus on LMI customers and raise customer awareness of and participation in energy efficiency programs. Customer Advocates can then act as liaisons to NYSERDA's Hubs and provide updates on program changes, as well as increase their knowledge and

understanding of clean energy and energy efficiency programs available for LMI customers.

Q. What is the Panel's recommendation regarding the proposed one Marketing and Outreach Specialist?

A. We recommend that the Commission reject the proposed Marketing and Outreach Specialist. Since we also recommend rejecting the LMI Marketing and Outreach Program, an LMI Marketing and Outreach Specialist is not needed to design and implement a new program. Existing KEDNY and KEDLI staff, along with the increases to KEDNY's Consumer Advocates and the targeted strategies provided by the Energy Equity Analyst and Data Analyst, will be able to meet additional marketing and outreach efforts within existing programs.

Strategic Account Managers

Q. Describe the Companies' Strategic Account Managers, or SAM, proposal.

A. The Companies propose creating a group of Strategic Account Managers that will act as a single point of contact with 159 of KEDNY's large commercial and industrial, or LCI, customers and 150 of KEDLI's LCI customers. The

Companies propose to hire four SAMs and one managing supervisor to oversee the SAM group. In their response to DPS-490, as shown in Exhibit__(SCSP-1), each SAM would have a caseload of 50 to 60 customers. The goal of the SAM program is to achieve more consistent contact and be more proactive in customer management, connection and billing issues, and the customers' transition to clean energy.

Q. How do the Companies currently manage LCI customer accounts?

A. Two FTEs within the Customer Solutions NY team are dedicated to LCI customers and assist them with billing, connections, and clean energy opportunities; however, they also perform stakeholder outreach and community engagement. The Companies' existing Customer Billing team, which is distinct from the Solutions team, reactively supports billing issues for LCI customers but does not provide proactive support.

Q. What is the Panel's recommendation regarding the four SAM and one managing supervisor FTEs proposal?

A. We recommend the Commission reject the five FTEs in the SAM group.

Q. Why does the Panel recommend rejecting the five SAM FTEs?

A. The responsibilities of the five SAM FTEs as proposed by the Companies are redundant with existing Company customer service and energy efficiency FTEs, and therefore do not address any customer service shortfalls. Specifically, LCI customers already have billing support from the existing Customer Billing team and the Customer Solutions NY team. The Companies did not demonstrate that these new SAM positions would create any efficiencies nor generate savings for these customers or the Companies. Further, as explained on pages 19 and 20 of the Staff Efficiency Panel direct testimony, in addition to the six incremental FTEs the Staff Efficiency Panel supports, the Companies have already increased their Energy Efficiency workforce by 75 percent over the past three years. Those new and existing FTEs in Energy Efficiency roles already provide clean energy-related support to commercial and industrial

customers.

Customer Service Performance Indicators

Q. What is the purpose of a Customer Service Performance Indicator, or CSPI?

A. CSPIs align shareholder and customer interests by providing earnings consequences related to the quality of service provided by a utility to its customers. Currently, these programs are in effect for most major, investor-owned energy utilities in New York. CSPIs link earnings directly to a utility's performance on specific measures of customer service.

Q. Why are CSPIs imposed by the Commission?

A. As monopoly providers of utility delivery service, utilities do not have a market-based incentive to provide acceptable levels of customer service as customers cannot select another utility based on the quality of service provided; however, ensuring that utilities provide quality service is extremely important to customers and is in the public interest, so CSPIs are needed to establish an incentive for each company to provide satisfactory levels of customer service performance.

Q. Are there alternative titles or acronyms used to refer to CSPIs?

A. Yes, as shown on page 41 of the Companies' Customer Panel direct testimony, the Companies use "Customer Service Quality Programs" and "Customer Service Quality Metrics, or CSQM" to refer to measures of the Companies' customer service performance and associated performance targets.

Q. Does the Panel recommend any changes to the CSPI titles?

A. Yes, the Panel recommends the Companies use Customer Service Performance Indicators or CSPIs to refer to all of their Customer Service Quality Program Measures and any CSQMs therein to standardize with other investor-owned utilities, or IOUs, how these measures are referred to and tracked.

Q. Does the Panel propose modifications to the individual CSQM titles?

A. Yes.

Q. What are the Panel's proposed titles of the individual metrics in the CSPI?

A. As part of Department Staff's annual audit of

the utilities' 2020 customer service performance in Case 21-M-0046, Department Staff recommended that the various utilities modify their metrics, as there were upwards of four different titles to reflect the same measure. For example, the Customer Satisfaction Index, Overall Customer Satisfaction Index, Customer Satisfaction Survey, and Contact Satisfaction all refer to the residential customer satisfaction survey mechanism. For these reasons, we propose to align the titles of the metrics with those discussed in the Commission's Order Adopting Revisions to Customer Service Reporting Metrics, issued on August 4, 2017, in Case 15-M-0566, or the CSPI Order. Thus, the titles of the Companies' individual measures should conform to the following: PSC Complaint Rate; Customer Satisfaction Survey; Percent of Calls Answered by a Representative within 30 Seconds, or Call Answer Rate; and Percent of Adjusted Bills.

Q. Please describe how Staff reviews the Companies' CSPI performance.

A. The Companies submit reports to the Commission detailing their monthly performance in Case 15-

M-0566. KEDNY and KEDLI's monthly and annual reports are audited and verified by the Department's Office of Consumer Services, or OCS, Staff. OCS Staff conducts these audits for all major IOUs using random data samplings from sets of reports and vetting the data to determine the authenticity and accuracy of the reported data. OCS Staff then brings any discrepancies to the utilities' attention and reconciled. Staff and the Companies can analyze trends and, when necessary, employ strategies, at a minimum, to maintain current satisfactory levels of customer service on an ongoing basis. At the end of the calendar year, the Companies submit an annual performance report and applicable revenue adjustments are determined. For both KEDNY and KEDLI, the potential revenue adjustments are negative only adjustments for this program. The Companies allocate any adjustments into deferral accounts and the Commission can address any balances in these accounts in the next rate case to benefit customers.

Q. Are there discrepancies between performance

filed in the CSQM and CSPI reports?

A. No. Department Staff conducted an audit of KEDNY and KEDLI's reported CSPI data during its 2022 annual audit into all major investor-owned utilities metric performances in Case 23-M-0040, In the Matter of Utility Customer Service Quality Performance. Staff also conducted additional audits of all major IOUs of prior years' data in Cases 20-M-0046, 21-M-0046, and 22-M-0054.

Q. Has the Panel verified the validity of the reported data that was provided in the audit on the utilities' and KEDNY and KEDLI's performance?

A. Yes, we have. As discussed in the 2022 Customer Service Performance Report, filed in June 2023 in Case 23-M-0040, no such discrepancies were discovered by Department Staff regarding the Companies' 2022 data.

Q. What CSPIs are currently in effect for KEDNY and KEDLI?

A. As shown on page 40 of the Companies' Customer Panel direct testimony, the current CSPI measures for both Companies are: 1) annual PSC

Complaint Rate per 100,000 customers; 2) Customer Satisfaction Survey, measured through a customer satisfaction survey; 3) Call Answer Rate; and 4) Percent of Adjusted Bills.

Q. What are KEDNY's current performance targets?

A. The current minimum targets that KEDNY must achieve are less than or equal to 1.0 for PSC Complaint Rate; greater than or equal to 86.7 percent for Residential Customer Transaction Satisfaction; greater than or equal to 60.6 percent for Telephone Answer Response or Percentage of Calls Answered within 30 Seconds; and less than or equal to 0.62 percent for the Adjusted Customer Bills metric.

Q. What are KEDLI's current performance targets?

A. The current minimum targets for KEDLI are less than or equal to 1.0 for PSC Complaint Rate; greater than or equal to 85.1 percent for Residential Customer Transaction Satisfaction; greater than or equal to 62.2 percent for Telephone Answer Response, or Percentage of Calls Answered within 30 Seconds; and less than or equal to 1.50 percent for the Adjusted Customer Bills metric.

Q. When were these targets adopted?
A. The Commission adopted these CSPI targets on page 204 of its Order Approving Joint Proposal, As Modified, And Imposing Additional Requirements, issued August 12, 2021 in Cases 19-G-0309 and 19-G-0310, or the 2021 Rate Order.
Q. If performance on any customer service performance indicator metric falls below the specified thresholds, will the Companies incur a negative revenue adjustment, or NRA?
A. Yes. A total of $11.7 million and $9.9 million in potential NRAs are currently at risk annually for KEDNY and KEDLI, respectively, divided among each of their performance measures. For example, if KEDNY's performance for the PSC Complaint Rate is greater than 1.0, or the performance for KEDLI's Residential Customer Transaction Satisfaction is below 85.1 percent, the Companies would incur an NRA for these metrics.
Q. Have the Companies achieved their customer service performance targets established by the 2021 Rate Order?
A. Yes, according to the data filed by the

Companies with the Commission under Case 15-M-0566, which has been audited by Staff in Cases 20-M-0046, 21-M-0046, 22-M-0054, and 23-M-0040, both KEDNY and KEDLI have met all performance targets since 2015.

Q. Are the Companies proposing any modifications to their CSPIs?

A. Yes, on page 43 of the Companies' Customer Panel direct testimony, the Companies propose to align the KEDNY and KEDLI Customer Satisfaction surveys with the Joint Utility Statewide Survey.

Q. What is the Joint Utility Statewide Survey?

A. As discussed in the Commission's Order Authorizing Implementation of a Pilot Statewide Customer Satisfaction Survey issued on October 18, 2018 in Case 15-M-0566, In the Matter of Revisions to Customer Service Performance Indicators Applicable to Gas and Electric Corporations, the Joint Utility Statewide Survey, or Joint Utility Survey, is a transaction-based survey administered by email to customers.

Q. When do the Companies propose to align the KEDNY and KEDLI Customer Satisfaction surveys with the

Joint Utility Survey?

A. On page 45 of the Customer Panel direct testimony, the Companies recommend that Staff, the Companies, and interested stakeholders convene in CY 2024 to establish a CSPI that utilizes the results of the Joint Utility Survey beginning January 1, 2025.

Q. Why do the Companies recommend this timeline?

A. On page 43 of the Customer Panel direct testimony, the Companies state the historical survey data is not sufficient to set a target for a performance indicator due to the COVID-19 pandemic, and they would like to collect more survey data to ensure target accuracy. Additionally, on page 44, the Companies recommend increasing the sample size of the monthly Joint Utility Survey to collect more survey data.

Q. What does the Panel recommend regarding the Companies' proposals to align the KEDLI and KEDNY Customer Satisfaction Survey with the Joint Utility Survey?

A. We recommend the Commission reject the Companies' proposal to align the KEDLI and KEDNY

Customer Satisfaction Survey with the Joint Utility Survey at this time due to the lack of sufficient data and targets, as stated by the Companies' Customer Panel direct testimony.

Q. Does the Panel agree with the Companies' proposal to maintain the current CSPI targets?

A. In part, we agree with the Companies' proposal to maintain the current minimum targets for the PSC Complaint Rate and Percent of Calls Answered by a Representative within 30 Seconds metric; however, for the two remaining metrics, we recommend the Commission update the targets for the Customer Satisfaction Survey metric and the Adjusted Bills metric, which currently has four tiers, as we will discuss and recommend the Commission adopt a tiered approach to assess NRAs using the values of pre-tax basis points rather than specific dollar figures, as shown in Exhibit__(SCSP-2). These modifications would align KEDNY and KEDLI's CSPIs with those at other major IOUs.

Q. How does the Panel recommend the Commission update the CSPIs?

A. We propose the Commission establish four target

ranges to delineate performance tiers and respective NRA amounts for the remaining three metrics for both KEDNY and KEDLI, as the tiered structure is already in place for the Adjusted Bills metric.

Q. What do you mean by target ranges?

A. As discussed earlier, and as adopted in the 2021 Rate Order, the Companies' PSC Complaint Rate target is less than or equal to 1.0. Failure to achieve a target of less than 1.0 would result in an NRA of $4.68 million for KEDNY and $3.96 million for KEDLI. This non-tiered methodology does not conform with the format established at other IOUs; therefore, we recommend the Commission adopt a tiered approach with the specific delineation of target ranges with associated NRAs as shown in Exhibit___(SCSP-2).

Q. How did the Panel calculate the subsequent target ranges for each tier for the PSC Complaint Rate, Customer Satisfaction Survey, and Adjusted Bills metrics?

A. We developed the first tier by establishing a range from the historical average of greater or less than two standard deviations, depending on

how the CSPI is measured. As an example, for KEDNY's Customer Satisfaction Survey metric, we used two standard deviations below the historical average to set the first tier. Customer Satisfaction performance greater than the 87.5 percent would be considered acceptable and would not incur a revenue adjustment. A second tier was developed using a range between two and three standard deviations below the historical average and would incur a negative revenue adjustment. The third and fourth tiers were developed similarly, using three and four standard deviations from the historical average and incur additional negative revenue adjustments.

Q. Explain how the Panel determined the minimum targets identified in Exhibit___(SCSP-2).

A. In the Companies' previous rate cases, including in the 2019 Rate Cases, the Commission adopted targets based on historical averages, which generally represent a satisfactory level of service. To determine the Companies' historical average performance, we used 60 months of data. To establish the minimum targets, we then

applied two standard deviations.

Q. In what other prior cases has the Commission accepted this methodology?

A. Some recent examples are the Commission's orders adopting Joint Proposals in Cases 22-E-0064 and 22-G-0065 for Con Edison and Cases 21-E-0074 and 21-G-0073 for O&R.

Q What was the source of the 60 months of historical data?

A. We reviewed the data submitted by KEDNY and KEDLI in their monthly CSPI reports filed in Case 15-M-0566.

Q. Why use two standard deviations to develop these minimum targets?

A. A performance result that is more than two standard deviations from the average carries a 95 percent confidence level that the result is not due to normal, random variations. Therefore, actual performance more than two standard deviations away from the historical average should reflect the impact of the utility's actions.

PSC Complaint Rate

Q. What is the Panel's recommended target for the

Companies' PSC Complaint Rate?

A. For this metric, we recommend maintaining the current 1.0 minimum target for both KEDNY and KEDLI, which was established in the 2019 Rate Cases, while modifying the target ranges from two tiers to four, as shown in Exhibit__(SCSP-2). The Companies have performed satisfactorily over the past five years on this metric.

Q. Why does the Panel recommend the Commission deviate from the method typically used to calculate the PSC Complaint Rate minimum target?

A. We calculated the Companies' results by applying the traditional method of the using the historical average and two standard deviations, resulting in a minimum target of 1.5 for KEDNY and 1.4 for KEDLI, which are more lenient targets than are currently in place. Using this method would lead to adoption of more lenient targets and would allow the Companies customer service performance to decline without any revenue adjustment. Commensurate with other utilities, the lowest minimum target currently in effect is 1.0, which is already in place for KEDNY and KEDLI. Therefore, we agree with the

Companies' proposal to maintain the 1.0 minimum target.

Residential Customer Satisfaction Survey

Q. What were the Companies' reported results for the Customer Satisfaction Survey mechanism?

A. According to the CSPI and CSQM reports filed by the Companies, which Staff has audited, KEDNY's performance for the Customer Satisfaction Survey was 87.9 percent in 2018, 90.5 percent in 2019, 93.2 percent in 2020, 92.0 percent in 2021, and 91.4 percent in 2022, with a standard deviation of 1.76 percent. KEDLI's performance on this metric was 88.2 percent in 2018, 88.6 percent in 2019, 92.2 percent in 2020, 92.0 percent in 2021, and 89.1 percent in 2022, with a standard deviation of 1.73 percent.

Q. How did the Panel determine acceptable performance for this metric?

A. We identified the historical average for the past five years and then applied two standard deviations. KEDNY had an average performance for the Customer Satisfaction Survey of 91.0 percent with two standard deviations equal to 87.5 percent, while KEDLI had an average

performance of 90.0 percent with two standard deviations equal to 86.5 percent.

Q. What is the Panel's recommended target for the Customer Satisfaction Survey targets?

A. By utilizing the same methodology as before to calculate the minimum target, the target would increase from the 86.7 percent for KEDNY and 85.1 percent for KEDLI established in the 2021 Rate Order, to 87.5 percent and 86.5 percent, respectively. Based on the Companies recent historical performance, we recommend that the Commission adopt these minimum targets and the target tiers for the Residential Customer Satisfaction Survey as shown in Exhibit___(SCSP-2). We also note these minimum targets do not factor in the results from the Statewide Pilot Survey, or Joint Utility Survey as referenced in the Companies' testimony.

<u>Percent of Calls Answered by a Representative within 30 Seconds</u>

Q. What was the Companies' performance over the past five years for their Percent of Calls Answered by a Representative within 30 Seconds metrics?

A. The reported and audited performance for KEDNY in each of the years 2018, 2019, 2020, 2021, and 2022 for this metric has been 61.9 percent, 61.7 percent, 84.0 percent, 65.0 percent, and 67.7 percent, respectively, with a standard deviation of 8.26 percent. KEDLI's performance in each of the years 2018, 2019, 2020, 2021, and 2022 for this metric has been 67.0 percent, 69.0 percent, 78.9 percent, 83.0 percent, and 76.5 percent, respectively, with a standard deviation of 6.02 percent.

Q. Using the five-year historical average and applying two standard deviations to it, what is the resulting minimum target for the Companies' Percent of Calls Answered by a Representative within 30 Seconds?

A. Applying the traditional method using the five-year historical average and two standard deviations would yield a Percent of Calls Answered by a Representative within 30 Seconds minimum target of 51.6 percent for KEDNY and 62.8 percent for KEDLI.

Q. Does the Panel recommend setting the minimum target at 51.6 percent for KEDNY?

A. No. The current minimum target for this metric, as established in the 2021 Rate Order, is already stringent at 60.6 percent. Further lowering the minimum target would allow KEDNY's customer service performance to decline without any revenue adjustment. CSPIs are used to prevent a decline in service. Thus, reducing the threshold would not accomplish that objective, and the Company should have consistent performance and work to avoid potential declines in service in the future. Lowering targets has the potential to create a domino effect where customer service levels continue to decline by allowing the Company to have more lenient performance goals.

Q. Did the Panel come to the same conclusion regarding KEDLI?

A. We concluded that KEDLI's current minimum target of 62.2 percent, as set in the 2021 Rate Order, should be retained. This recommendation stems from the observation that if the traditional method were applied, it would yield a minimum target of 62.8 percent, only a nominal difference.

Q. How did the Panel determine the tiers for the Companies' Call Answer Rate metric?

A. Instead of standard deviations, we used a difference of 1.5 percent for each tier starting with the Companies' existing Call Answer Rate targets of 60.6 percent and 62.2 percent for KEDNY and KEDLI, respectively. This approach differs from the methodology used for PSC Complaint Rate and Customer Satisfaction Survey because the standard deviations for Call Answer Rate would have resulted in significant variations between tier levels for both Companies.

Q. Did the Companies propose targets different those proposed by the Panel for this measure?

A. No, the Panel and the Companies agree to maintain the targets adopted for Percent of Calls Answered by a Representative within 30 Seconds in the 2021 Rate Order.

Q. Does the Panel have any additional recommendations regarding this metric?

A. Yes. We recommend the Commission require the Companies to provide, on an ongoing basis within the monthly CSPI report filed under Case 15-M-

0566, the following information: (a) the duration of time that customers are on hold waiting to speak with a representative after 30 seconds have lapsed; and (b) the number of calls rejected by the Companies' IVR systems due to large call volume. This data will help Staff better understand the length of hold time experienced by customers to monitor performance on this metric more effectively.

Adjusted Bills

Q. What was the Companies' reported performance for the Adjusted Bills metric over the past five years?

A. Due to historical performance, KEDNY and KEDLI are unique from the other New York utilities and have an Adjusted Bills metric within its CSPI. The reported and audited performance for KEDNY in each of the years 2018, 2019, 2020, 2021, and 2022 for this metric has been 0.56 percent, 0.52 percent, 0.39 percent, 0.40 percent, and 0.35 percent, respectively, with a standard deviation of 0.08 percent. KEDLI's performance in each of the years 2018, 2019, 2020, 2021, and 2022 for this metric has been 0.16 percent, 0.13 percent,

0.13 percent, 0.15 percent, and 0.18 percent, respectively, with a standard deviation of 0.02 percent.

Q. Using the five-year historical average and applying two standard deviations to it, what would be the resulting minimum targets for the Adjusted Bills metric?

A. Applying the traditional method using the five-year historical average and two standard deviations would yield an Adjusted Bills minimum target of 0.28 percent for KEDNY and 0.11 percent for KEDLI.

Q. Does the Panel recommend setting the minimum targets at .28 percent for KEDNY and .11 for KEDLI based on the traditional methodology?

A. No, we do not recommend utilizing the standard methodology to calculate the proposed minimum targets for this metric for the Companies as we consider the resulting minimum targets to be too stringent.

Q. What does the Panel recommend as a minimum target for the Adjusted Bills metric for KEDNY and KEDLI?

A. As set forth in Exhibit__(SCSP-2), we recommend

the Commission continue KEDNY's current minimum target for the Adjusted Bills metric and reduce KEDLI's current minimum target of 1.5 percent to 0.62 percent, which is in line with KEDNY's minimum target.

Q. Please explain the Panel's recommendation for the setting the minimum target for KEDLI's Adjusted Bills metric.

A. We recommend the Commission apply KEDNY's Adjusted Bills minimum target to KEDLI as they both have maintained consistent performance on this metric over the past five years. Both Companies also share resources, including customer service representatives, which would allow them to manage to the same standard. Adopting the same minimum target is reflective of the Companies' shared efforts.

Estimated Bills

Q. Provide a description of an estimated bill.

A. Estimated bills are bills rendered based on estimated usage in circumstances where the Companies are unable to obtain actual meter reads.

Q. Do the Companies report information regarding

estimated bills?

A. Yes, the Companies file monthly reports containing the percentage of bills estimated in Case 15-M-0566 per the CSPI Order.

Q. Describe the Companies' recent performance on the Percent of Estimated Bills metric.

A. For calendar years 2019, 2020, 2021 and 2022, KEDNY's performance on this metric was 3.29, 4.11, 4.82 and 6.49 percent, respectively, and KEDLI's performance was 0.16, 0.13, 0.08 and 0.11 percent, respectively.

Q. Do the Companies report on the average duration customers receive consecutive estimated bills or the average length of time residential and non-residential meters have gone unread?

A. No, they do not.

Q. Does the Panel have any recommendations regarding Estimated Bills?

A. Yes. In their rebuttal filing, we recommend the Companies provide data for each calendar year from 2019 to 2022 detailing how many residential and non-residential meters have gone unread for the following periods of time: (a) 30 to 59 days; (b) 60 to 89 days; (c) 90 to 120 days; and

(d) 121 days or more.

Q. Please explain the Panel's recommendation.

A. In light of ongoing investigations into estimated billing at Central Hudson and NYSEG/RG&E, we are concerned with the frequency and accuracy of the Estimated Bills that customers receive from IOUs throughout New York State, particularly in cases where customers receive estimated bills for multiple consecutive months. With this additional data set, we will be able to assess the Companies' estimated billing processes and procedures.

Negative Revenue Adjustments

Q. Would either Company have incurred an NRA in the past five years with the Panels' recommended minimum targets?

A. Yes. Both Companies would have incurred an NRA of 10 basis points for PSC Complaint Rate in 2019, with results of 1.4 for KEDLI and 1.5 for KEDNY; however, the minimum target for PSC Complaint Rate was not established until its adoption in the 2021 Rate Order. Aside from PSC Complaint Rate, neither Company would have incurred an NRA in the past five years with our

recommended minimum target levels.

Q. What are the dollar values of the current NRAs for KEDNY?

A. As established in the 2021 Rate Order, the potential NRAs for KEDNY are $4.68 million at risk for PSC Complaint Rate, $4.68 million for Customer Satisfaction Survey, $1.17 million for Call Answer Rate, and $1.17 million for Adjusted Bills for a total amount at risk of $11.7 million.

Q. What are the dollar values of the current NRAs for KEDLI?

A. The potential NRAs for KEDLI are $3.96 million at risk for PSC Complaint Rate, $3.96 million for Customer Satisfaction Survey, $990,000 for Call Answer Rate, and $990,000 for Adjusted Bills. The total amount at risk is $9.9 million.

Q. What does the Panel recommend regarding the NRAs associated with the CSPI metrics?

A. To be consistent and to better align the potential NRA amounts that effectively deter poor customer service, we recommend that the Commission modify the NRAs from using the

stagnant dollar amounts to pre-tax basis point values. In the long term, using a consistent number of basis points for each metric generally avoids the need for the Commission to modify the earning incentive dollar amount in future rate cases.

Q. What does the Panel recommend regarding the potential NRA for each tier for the Company's CSPIs?

A. As shown in Exhibit__(SCSP-2), we recommend no NRA if either Company's performance is above or below the first tier, depending on how the CSPI is measured. For the second tier, we recommend if the Company's performance falls within that tier's target range, that Company incur an NRA of five basis points. For the third tier, the Company would incur an NRA of 10 basis points if performance falls within that target range. For the fourth and final tier, the Company would incur an NRA of 15 basis points if performance exceeds the associated target range.

Q. What is the Panel's recommendation for the total potential NRAs associated with KEDLI and KEDNY's CSPI performance?

A. For each Company, we recommend the Commission set the potential maximum total NRA at 60 basis points.

Q. How did the Panel determine the recommended basis point equivalent for the aggregate potential NRAs?

A. Exhibit__(SCSP-3) shows the current NRA values associated with the CSPI metrics in dollars and/or basis points across the New York utilities. As shown in Exhibit___(SCSP-3), our recommended number of basis points for KEDNY and KEDLI is commensurate with the basis point value for other New York major investor-owned utilities.

Q. When did the Commission establish the Companies' current NRA values?

A. The Companies' current NRA values, $11.7 million for KEDNY and $9.9 million for KEDLI, were established as a result of the National Grid acquisition of KEDNY and KEDLI in Case 06-M-0878, the Joint Petition of National Grid PLC and KeySpan Corporation for Approval of Stock Acquisition and other Regulatory Authorizations. These dollar values currently equate to 23 pre-

tax basis points for KEDNY and 31 pre-tax basis points. The dollar value of the NRAs has remained constant through the intervening rate proceedings.

Q. What does the Panel recommend for the pre-tax basis point amounts for the NRAs?

A. We recommend that the Commission establishes NRAs set at a maximum of 15 basis points, for each metric at each Company: PSC Complaint Rate, Residential Customer Transaction Satisfaction, Percentage of Calls Answered within 30 Seconds, and Adjusted Customer Bills.

Q. What is the dollar value of a pre-tax basis point for the Companies?

A. As a result of Staff's recommended equity ratio and level of rate base for the Rate Year, as demonstrated in the Staff Revenue Requirements Panel in Exhibit___(SRRP-4), the value of one basis point equals approximately $0.500 million for KEDNY, and $0.300 million for KEDLI.

Q. What is the dollar value of the NRAs the Panel is proposing?

A. Using a maximum of 15 basis points for each metric, or 60 basis points total for each

Company, the combined total NRA values would be $30.9 million and $19.5 million for KEDNY and KEDLI, respectively. While these represent a significant dollar value increase, we reiterate that the Companies' customer service NRA levels have not increased since the 2006 merger discussed earlier. Additionally, since that time, the Companies' rate base has also increased substantially. We are concerned that the NRA amounts established in the 2006 merger do not provide the Companies with an adequate incentive to maintain acceptable levels of customer service.

Q. Does the Panel have a recommendation for when the basis point value is determined for a metric period?

A. We understand that basis points can vary over any measurement period. In order to avoid confusion and to ensure all parties are aware of the dollar amount exposure for the calendar year, we recommend that the Commission direct the Companies to include the dollar amount of a combination basis point for the applicable year in the Companies' annually filed CSPI report.

Q. Should any incurred NRA accrue interest?

A. Yes. Consistent with current practice, in the event KEDNY or KEDLI incur an NRA, we recommend the balance earns interest at the pre-tax return rate, until such time as the Commission rules on the disposition of the balance, which would likely be in the Companies' next rate case.

Appointments Kept

Q. Describe the Companies' Appointments Kept metric.

A. The Companies provide a service guarantee to keep all appointments made at the customer's request as well as special appointments the Companies make with the customer in accordance with the 2021 Rate Order. If the Companies do not keep an appointment within the timeframe agreed upon, a credit of $30.00 for residential customers and $60.00 for non-residential customers is credited to the customer's next bill.

Q. What was the Companies' performance on this metric since the 2021 Rate Order?

A. KEDNY kept 98.4, 96.6, and 96.1 percent of appointments scheduled in 2020, 2021, and 2022,

respectively. KEDLI kept 99.1, 96.5, and 96.6 percent of appointments scheduled in 2020, 2021, and 2022, respectively.

Q. Does the Panel have any recommendations regarding this metric?

A. Yes, we recommend that the metric continue without changes.

Call Center Staffing

Q. What are the Companies proposing for their third-party call center vendors?

A. The Companies propose permitting their third-party call center vendors to utilize home-based agents who live outside the State of New York. On page 49 of the Customer Panel direct testimony, the Companies state they are experiencing difficulty in attracting and retaining New York-based employees due to an increase in higher wage opportunities for other types of employment.

Q. What types of customer calls do the Companies allocate to third-party vendors?

A. Page 48 of the Customer Panel direct testimony states that KEDLI allocates 100 percent of collections and move calls to third-party

vendors. KEDNY allocates 100 percent of collections and 70 percent of move calls to third-party vendors.

Q. Describe the Companies' proposal regarding call center operations for Spanish-speaking customers.

A. The Companies propose enabling a third-party vendor to utilize their near-offshore facilities to manage the Companies' inbound Spanish call volume associated with moves, customer connection, and collections.

Q. What are the costs associated with the third-party agents and offshore facilities for Spanish-speaking call volume?

A. The Companies state that there are no costs associated with the third-party agents or the offshore facilities. In response to DPS-583, as shown in Exhibit__(SCSP-1), the Companies state they will handle the transition of Spanish calls to the off-shore location through attrition.

Q. What does the Panel recommend regarding the Companies' proposals regarding permitting third-party call center vendors to utilize agents who live outside the State of New York and to use

near-offshore call center facilities?

A. We recommend that the Commission reject the Companies' proposals.

Q. Please explain the Panel's recommendations.

A. We are concerned with the loss of potential jobs within New York State where these entry-level positions can be filled by New York City metro area residents, which is home to 4.8 million Latinos according to hispanicfederation.org, and where there has recently been an influx of Spanish-speaking migrants who may be eligible to work legally in the U.S. through the Asylum Seeker Program. Additionally, Governor Hochul recently expanded the NYS Professional Pathways program, which assists high-skilled immigrants in overcoming barriers to professional development by screening, training, and identifying job opportunities across the state, further supporting our recommendation to tap into existing resources before moving jobs outside New York State.

Residential Terminations and Uncollectible Expense Incentive Mechanism

Q. Please explain the incentive mechanism

associated with terminations and uncollectible expense.

A. In the Commission's Order Adopting Terms of Joint Proposal and Establishing Gas Rate Plans, issued December 16, 2016, in Cases 16-G-0058 and 16-G-0059 et al., or the 2016 Rate Order, the Commission adopted an incentive mechanism to encourage the Companies to identify and implement measures to reduce residential service terminations for non-payment while decreasing or maintaining the level of bad debt for customers. The Companies could earn positive revenue adjustments if they achieved certain targets for residential terminations and/or bad debt expense. The Companies paused the incentive mechanism during the COVID-19 pandemic due to the service termination moratorium set forth in amendments to Public Service Law Sections 32, 89-b, 89-l, and 91, also known as the Parker Mosley Act.

Q. Do the Companies propose to resume the termination and uncollectible incentive mechanism?

A. No. The Companies propose to continue

suspending the positive-only termination and uncollectible incentive mechanism through the Rate Year.

Q. Do the Companies propose any modifications to this mechanism?

A. On pages 78 through 79 of the Customer Panel direct testimony, specifically tables five through eight, the Companies enumerate their proposed metrics and incentives for the Terminations and Uncollectibles Incentive Mechanism. The Companies propose to use the same incentive amounts and targets as established in the 2016 Rate Order.

Q. What is the Panel's recommendation regarding the resumption of the positive incentive mechanism?

A. We agree with the Companies' proposal to continue the suspension of the positive incentive mechanism during the Rate Year. Additionally, we recommend the Commission suspend this mechanism until the Companies file for new rates.

Q. Please explain the Panel's recommendations.

A. We are concerned that there is insufficient historical data to set meaningful targets at

this time due to the significant fluctuations in uncollectibles and the number of service terminations over the last three years. The data provided in the Companies' response to DPS-408 and DPS-592, as shown in Exhibit_(SCSP-1), does not provide a clear trend for accurately forecasting uncollectibles and service terminations. As discussed in the Utility Arrears Relief Program Phase 2 Order, issued on January 19, 2023 in Case 14-M-0565, due to the COVID-19 pandemic and the associated termination moratorium as well as the State's arrears forgiveness efforts, the levels of uncollectibles and service terminations are still fluctuating. According to the Companies' response to DPS-592, terminations in 2018 and 2019 for KEDNY were 29,214 and 28,077, respectively. Terminations for KEDLI in 2018 and 2019 were 10,786 and 12,286, respectively. In stark contrast, there were 2,597 terminations in 2020 for KEDNY and 362 terminations for KEDLI, no terminations in 2021 for either Company, and terminations rose slightly to 4,266 for KEDNY and 2,696 for KEDLI in 2022.

Therefore, we recommend the suspension continue until the Companies file a new rate plan.

Collection Residential Account Management

Q. Describe the Companies' CRAM program.

A. On page 36 of the Customer Panel direct testimony, the Companies describe the CRAM program as the team that specializes in direct engagement with high-balance residential customers that have high arrears balances requiring extra assistance in reducing their arrears and preventing termination of service. Low-income customers receive the most benefit from this program as customers are given a single point of contact for arrears management, DPAs, and financial assistance programs. In their response to DPS-408, the Companies stated that on June 16, 2023, 17,558 residential customers had arrears greater than $5,000.

Q. Do the Companies propose any changes to their CRAM Program?

A. The Companies are not proposing any changes to the CRAM program.

Q. Do the Companies propose additional resources for the CRAM program?

A. The Companies propose three new FTEs who will use specialized applications to work exclusively with either KEDLI or KEDNY customers. Currently, National Grid US-based businesses have two FTEs working on the CRAM program covering operations in New York and Massachusetts. A relatively small percentage of these FTEs' efforts support KEDLI. Currently, no CRAM FTEs are dedicated to KEDNY. In Exhibit___(CP-1), Schedule 6, the Companies state that three additional CRAM program staff, allocated two for KEDNY and one for KEDLI, will help address the increase in collection activities due to the end of the disconnection moratorium.

Q. What is the Panel's recommendation regarding the CRAM FTEs?

A. We recommend that the Commission approve the three CRAM FTEs for the Companies. According to the response to DPS-407, these positions assist with reducing the Companies' uncollectibles expense, and ultimately the amounts reflected in revenue requirements. The CRAM FTEs work directly with high-balance customers, including

low-to-moderate income customers, to address their arrears, set up DPAs, and to connect them with assistance programs. The CRAM program will allow the Companies to reduce terminations and collections activities for customers with high arrears, and reduce the need for other groups, including Consumer Advocates and Field Collection FTEs, to perform those activities.

KEDNY Field Collections Employees

Q. What are KEDNY's field collections procedures?

A. On page 105 of the KEDNY Gas Infrastructure and Operations Panel, or GIOP, direct testimony, the Company explains that they deploy field collections employees to directly collect payment from customers, and to place door hangers with payment reminders on customers' doors. Field visits are also performed as part of discontinuance of service if prior collections activities and termination notices do not result in payment from the customer.

Q. What additional resources does KEDNY request to address field collections?

A. On page 106 of the KEDNY GIOP direct testimony, the Company requests 30 Field Collection FTEs to

replace employees lost to attrition following the COVID-19 pandemic to bring the total FTEs back to pre-pandemic levels. The 30 collection employee positions lost to attrition during the pandemic are not included in KEDNY's headcount of FTEs in the Historic Test Year. The request for 30 new FTEs would bring the Company to pre-pandemic staff levels.

Q. Why did KEDNY remove these positions?

A. Similar to all the other major utilities in New York State, KEDNY suspended field collections, late payment fees, and other fees associated with customer non-payment during the pandemic. KEDNY reassigned employees who were performing field collections to other work groups and paused any hiring of replacement employees to complete field collection tasks. The Company contends that the additional field collections FTEs are necessary to mitigate bad debt expense levels, and ultimately uncollectible expense, which is recovered from customers in rates.

Q. What is the Panel's recommendation regarding the Field Collection FTEs requested by KEDNY?

A. We recommend the Commission reject 10 of KEDNY's

proposed 30 Field Collection FTEs.

Q. Why does the Panel recommend the reduction to the Companies' request for Field Collection FTEs?

A. The pre-COVID level of terminations are much less than what KEDNY is currently experiencing. Based on the Companies' responses to DPS-592 and DPS-627, 30 total Field Collection FTEs were sufficient to address pre-COVID levels of terminations, or 28,077 terminations in the KEDNY service territory.

Q. What level of terminations is KEDNY currently experiencing?

A. KEDNY's monthly Collection Reports from January 2023 through July 2023 filed in Case 91-M-0744 shows the Company had performed 8,976 terminations through June 2023. An annualization of this amount results in an annual level of current terminations of approximately 18,000 terminations. Furthermore, as previously discussed, KEDNY also requested three FTEs for the CRAM program, which this Panel is supportive of, and which will address the high value collections activities and in

turn, reduce the number of terminations. Thus, given the current level of terminations and the additional FTEs being added to the CRAM program, we estimate that 20 Field Collection FTEs will be sufficient in the Rate Year to address arrears and satisfy HEFPA termination requirements.

Credit/Debit Card Fees

Q. Please describe the Companies' current options regarding payments made by customers using credit and debit cards, or CC/DCs.

A. As described on pages 79 and 80 of the Companies' Customer Panel direct testimony, the Companies currently allow residential customers to pay their utility bills with a credit or debit card via a third-party card processor Speedpay, now known as ACI Worldwide. Customers can pay their utility bill with a CC/DC on the Companies' website, through the Companies' mobile app, and by phone using the Companies' automated telephone system. Customers enrolled in electronic billing receive an email with a link that takes them to a site where they can pay via CC/DC.

Q. Is there a fee for using a CC/DC?

A. Yes, customers who pay using a CC/DC incur a fee of $1.75 for payments up to $1,300. Customers using a CC/DC are also limited to five payments in a 30-day period.

Q. What is the Companies' proposal regarding CC/DC payments?

A. On page 80 of the Companies' Customer Panel direct testimony, the Companies propose to move away from the per-transaction fee and instead socialize these fees in base rates. The Companies proposed to include in base rates the estimated costs to recover these fees incurred by KEDNY and KEDLI when residential customers make CC/DC payments.

Q. What are the Companies' associated total costs resulting from a transition to this model?

A. On page 82 of the Companies' Customer Panel direct testimony, the Companies estimate the Rate Year costs to be $1.3 million for KEDLI and $3.2 million for KEDNY.

Q. What are the Panel's recommendations to the Commission regarding the Companies' CC/DC proposal?

A. We recommend that the Commission deny the Companies' CC/DC proposal. We recognize that customers are increasingly using CC/DC to make purchases and that a per-transaction vendor fee to pay a utility bill is inconvenient to customers, as most businesses include this as a cost of doing business; however, the Companies' per-transaction fee is currently one of the lowest among the major utilities and we are concerned about the likely increase in transaction volumes and associated fees. When these fees are socialized in base rates, customers lose transparency into the costs they could incur by choosing CC/DC as a payment method, removing the incentive for customers to provide feedback that encourages further negotiations with card processors. Without this transparency and feedback, both aggregate fees incurred as well as the per-transaction fee rate typically increase, as has been the case at other New York utilities such as Central Hudson, Orange & Rockland, and NYSEG and RG&E as shown in quarterly reports filed in Cases 20-E-0428, 18-E-0067, and 19-E-0378, respectively.

Therefore, we recommend the Commission reject the Companies' proposal and direct the Companies to continue to use their aggregate buying power to further negotiate this per-transaction amount in the future.

Economic Development

Q. Briefly describe the Companies' Economic Development Grant Programs.

A. The Companies currently offer a portfolio of nine Economic Development Grant Programs in their respective territories. The programs are: 1) Economic Development and the Future of Heat; 2) Capital Investment Incentive Program; 3) Cooperative Business Recruitment Program; 4) Natural Gas Manufacturing Productivity Program; 5) Brownfield Redevelopment Assistance Program; 6) Industrial Building Redevelopment Program; 7) CleanTech Incubation; 8) Cinderella Program; and 9) Sustainable Gas and Economic Development Program.

Q. What are the recent successes of the programs?

A. The Companies' Economic Development Grant Programs Annual Report for calendar year 2022 filed on April 3, 2023, in Cases 19-G-0309 and

19-G-0310, or the report, discuss the recent successes of the programs. In calendar year 2022, the Companies approved 10 applications for grant funding which represent $426,405 in funding. The report states that since 2017, over $600 million in capital investment has been invested in Downstate New York as a result of projects receiving National Grid's economic development funding. Additionally, since 2017, there have been 1,810 jobs created or retained in projects that have received funding through National Grid's economic development grant programs.

Q. Do the Companies propose any changes to the programs?

A. Yes. On pages 141 and 142 of the Customer Panel direct testimony, the Companies propose to discontinue the Capital Investment Incentive Program and the Industrial Building Redevelopment Program. In their response to DPS-492, as shown in Exhibit___(SCSP-1), the Companies stated that because these programs assist large commercial and industrial businesses upgrade their natural gas delivery

infrastructure, discontinuing the Capital Investment Incentive Program and the Industrial building Redevelopment Program will better align the Economic Development program portfolio with the priorities and recommended strategies of the Climate Action Council.

Q. Does the Panel have any concerns about the Companies' proposal to discontinue the Capital Investment Incentive Program and the Industrial Building Redevelopment Program?

A. No. Both the Capital Investment Incentive Program and the Industrial Building Redevelopment Program have had very low activity in the past three years, as detailed in the Companies' response to DPS-492, as shown in Exhibit__(SCSP-1). The total spending for the Capital Investment program over the past three calendar years was $87,089 for KEDNY and $0 for KEDLI, and the total spending for the Industrial Building Redevelopment program for the past three calendar years was $0 for KEDNY and $31,432 for KEDLI. Both programs promote natural gas system expansion, and ending incentives provided through these programs

better aligns the Economic Development grant programs offered by the Companies with the Climate Leadership and Community Protection Act, or the CLCPA. Additionally, some of the program modifications described below are focused on a goal of emission reduction and continuing the two programs described above would contradict that goal.

Q. Do the Companies propose modifications to any of the other programs?

A. Yes. The Companies propose to modify five of the remaining seven programs.

Q. Please describe any proposed program modifications for the Economic Development and Future of Heat program?

A. For the Economic Development and Future of Heat Program, a feasibility analysis is proposed as an eligible project type in the program's "Customer Track." Currently, the program only allows a feasibility study under the "Community Track" to qualify for funding under this program. On pages 29 through 32 of Exhibit___(CP-9), Schedule 1, the Companies describe the Customer Track as a project

involving a single customer facility and the Community Track is described as a larger scale multiple building project. Currently, the program only provides funding to an applicant in the Customer Track if the project directly results in the installation of a non-pipeline alternative to traditional gas service or emerging natural gas technology, including but not limited to geothermal, solar thermal, thermal storage, combined heat and power, fuel cells, biomass, microgrids, anaerobic digestion, and thermal cooling/chilling and does not allow funding for a feasibility analysis related to such an installation.

Q. Please describe the Companies' proposal for the Cooperative Business Recruitment Program and the Natural Gas Manufacturing Productivity Program?

A. The Companies propose to offer additional funding if the projects target clean energy industry sectors and their associated supply chains.

Q. What do the Companies propose for the Brownfield Redevelopment Assistance Program?

A. For the Brownfield Redevelopment Assistance

Program, the Companies propose to provide priority consideration to qualifying projects in Disadvantaged Communities.

Q. What do the Companies propose for the Cinderella Program?

A. For the Cinderella Program, the Companies propose to provide additional grant funding to qualifying projects located in a disadvantaged community, and to add commercial corridor improvements and Economic Development Workshops as eligible project types.

Q. Does the Panel have any concerns about any of the proposed modifications to the five programs listed above?

A. No. We agree with the proposed modifications because the modifications would support growth in both disadvantaged communities and in the clean energy industry to align with the CLCPA, as discussed in Staff's Policy Panel direct testimony.

Q. How are the Companies' economic development grant programs currently funded?

A. On page 139 of the Customer Panel direct testimony, the Companies state the current

authorized funding levels for these grant programs are $2.25 million and $2.75 million for KEDNY and KEDLI, respectively.

Q. Are the Companies' proposing to adjust the level of funding for economic development programs in the Rate Year?

A. Yes. On page 145 of the Customer Panel direct testimony, the Companies propose annual funding levels for their economic development programs of $1.819 million and $1.722 million for KEDNY and KEDLI, respectively. The Companies propose that prior economic development deferral credits be amortized in the Rate Year, or RY, to fully offset the costs of this program.

Q. What is the forecasted balance of these deferrals?

A. On page 5 of the Customer Panel Corrections and Updates testimony, the Companies state that the forecasted balance available on March 31, 2024, for KEDNY is approximately $5.5 million and the forecasted balance for KEDLI is approximately $4.6 million.

Q. What is the Companies' proposal for the remaining portion of the deferral balances

stated above?

A. On page 145 of the Customer Panel direct testimony, the Companies propose to continue the existing deferral mechanism for reconciling and recovering grant program expenditures. Thus, actual grant expenditures would continue to be reconciled against the amounts included in rates, subject to a downward-only reconciliation. For any amounts spent below the proposed rate allowance, the Companies would continue to reconcile against the amount included in rates, and then book the difference to the associated deferral account. Finally, in the event the Companies significantly overspend their rate allowances, they can petition the Commission for deferral treatment of such amounts.

Q. What are the current reporting requirements for the Companies?

A. The Companies file an annual economic development plan by April 1 of each year that details the full economic development activity for each company for the prior calendar year.

Q. Did the Companies propose any changes to these

reporting requirements?

A. No.

Q. Does the Panel have any additional recommendations for the Companies' economic development programs?

A. No, we do not.

Tariff Modifications

Q. Does the Panel have any recommended revisions to the Companies' tariffs?

A. Yes. We recommend that the Companies add a provision to their gas tariffs leaf 27 for KEDNY and leaf 36 for KEDLI, or create new leaves as appropriate, with the following language: "All bills must be rendered on a monthly basis unless there are causes beyond the Company's control that would cause an irregularity, or the customer is being billed based on a bi-monthly, quarterly, or seasonal schedule. If an irregularity occurs, the interval may be 45 days from the date of the prior bill or the date that the cause of the delay has been remedied. If there is a billing delay, the Company will notify customers of the delay within five calendar days of when the bill should have been

sent."

Q. Why does the Panel recommend this modification?

A. To avoid excessive delays and an undue burden to customers, the Panel proposes this tariff modification, which provides clarity to customers regarding the billing process. There is no tariff language addressing when a customer must receive a bill for services rendered by the Companies. The current language in the Companies' tariffs states that a bill will be rendered monthly or bi-monthly but does not provide a limit to the length of time before a bill can be issued.

Q. What are the Companies' options if actual usage data cannot be obtained?

A. If actual usage data cannot be obtained, the Companies can estimate the usage data in accordance with estimated billing procedures pursuant to Public Service Law Section 39.

Gas Safety Public Awareness Program

Q. Describe KEDNY's Gas Safety Public Awareness Program.

A. As discussed on page 34 of the Companies' Gas Safety Panel direct testimony, KEDNY proposes

implementing a gas safety public awareness campaign targeting multi-dwelling locations to reach 1.4 million stakeholders over the next four years who may not receive a KEDNY gas bill and important gas safety information. The messaging will be distributed on double-sided postcards sent via US mail to approximately 369,000 customers annually during the RY and subsequent Data Years.

Q. What are the associated costs of KEDNY's Gas Safety Public Awareness campaign?

A. On page 35 of the Company's Gas Safety Panel direct testimony, the Company requests $0.288 million for the Rate Year and each subsequent Data Year.

Q. Describe the Companies' existing Natural Gas Safety outreach program.

A. The Panel reviewed page 148 of the Companies' 2023 O&E Plan, Natural Gas & Electric Safety, which explains that the program goals are to increase public awareness of pipeline gas safety primarily by mail to educate the public, emergency officials, local public officials, excavators, and other key stakeholders on

procedures for public safety in the event of a natural gas emergency. The Companies provided copies of its gas safety outreach material in Appendix B-Natural Gas and Electric Safety National Grid plan 2023, or Appendix B, of its 2023 O&E Plan.

Q. Why is KEDNY motivated to increase public awareness about gas safety?

A. In response to DPS-958, KEDNY states that "a study was requested after media reports indicated that stakeholders had possibly smelled gas before recent gas events but assumed others had called 911 or the Companies' gas emergency phone numbers." KEDNY retained a consultant to conduct a study to this effect. After conducting the study, KEDNY's consultant found that a direct mailing campaign is the most effective way to reach stakeholders who may not receive safety information.

Q. Does the Panel have any recommendations concerning the Company's Gas Safety Public Awareness campaign?

A. The Panel recommends the Commission reject KEDNY's proposal.

Q. Why does the Panel recommend rejecting this campaign?

A. The Panel supports the Companies existing efforts to distribute gas safety information to its customers and stakeholders through its comprehensive Natural Gas Safety outreach program, as described in its 2023 O&E Plan. Additionally, we have eight concerns with the proposal.

Q. Please explain your first concern.

A. In response to DPS-958, KEDNY states that it developed a robust public awareness program that delivers important gas safety information and provides examples of its outreach material in Attachment 2. We reviewed the materials and found that the same content and materials are also included in Appendix B of the Companies' 2023 O&E Plan. We conclude that there is no added value to this campaign as these efforts are being implemented in its current Natural Gas Safety outreach program. Additionally, through the Consumer Advocacy program and with the two additional FTEs the Panel is recommending for the KEDNY territory, as discussed earlier in the

LMI section, the Companies can strategize and find ways to expand their reach by leveraging existing outreach programs and efforts.

Q. Please explain your second concern.

A. It is unclear what the actual cost of this campaign will be. On page 35 of KEDNY's Gas Safety Panel direct testimony, KEDNY proposes implementing the campaign over four years and requests $0.288 million for the Rate Year and subsequent Data Years. Meanwhile, the consultant in its study, only proposed a three-year campaign as shown in DPS-958, at an annual cost of $0.348 million per year. Based on the consultant's annual cost, KEDNY's proposed Rate Year costs of $0.288 million are inaccurate. It is unclear whether the consultant provide accurate costs to conduct this campaign over four years, as originally proposed on page 35 of the Company's Gas Safety Panel direct testimony, or whether the consultant proposed a different solution or timing that KEDNY accepted after its original proposal was made in these rate proceedings.

Q. Please explain your third concern.

A. On page 40 of the Company's 2023 O&E Plan, the Panel was unable to gain insight on their existing Gas Safety Program historical spend and therefore unable to fairly assess the need for additional funding as it is part of a larger budget entitled "Service-Related Communications."

Q. Please explain your fourth concern.

A. The Company did not provide a reason for their mailing schedule approach or how it would prioritize the group of stakeholders who would receive postcards in year one as opposed to subsequent years.

Q. Please explain your fifth concern.

A. The Company did not address how it would track tenants who may relocate in/out of the identified multi-unit dwellings or explain how its consultant would generate and maintain the 1.4 million stakeholder list.

Q. Please explain your sixth concern.

A. There is no indication that the postcard would be available in languages other than English.

Q. Please explain your seventh concern.

A. In DPS-958, the Panel asked KEDNY how it

determined that there may be 1.4 million stakeholders to target for this campaign. KEDNY stated that it identified all multi-family dwelling units in its "Metro NY" service territory using service area zip codes. The Panel concludes that its targeted 1.4 million stakeholders and costs to deliver postcards to each stakeholder is an estimate that may be inaccurate if tenants already receive this information from their landlord or community leaders, such as those listed starting on page 149 through 158 of the Companies' 2023 O&E Plan, who help distribute this important information.

Q. Please explain the eighth concern.

A. In DPS-958, the Panel asked KEDNY to explain if other alternative solutions were considered and why this option was selected as the best solution. In its response, KEDNY relied on the consultant's proposal that the mailing campaign is the most effective way to reach KEDNY's target audience, however, KEDNY does not explain what other alternatives, if any, were considered and why its consultant's proposed option was identified as the best option.

Q. Does this conclude the Panel's testimony at this time?

A. Yes. Thank you.